

up on elegance to focus on something that was given short shrift for a very long time: the maps showing what current knowledge and current methods do not do for us; and a rigorous study of generalized scientific iatrogenics, what harm can be caused by science (or, better, an exposition of what harm has been done by science). I find it the most respectable of pursuits.

Iatrogenics of Regulators. Alas, the call for more (unconditional) regulation of economic activity appears to be a normal response. My worst nightmares have been the results of regulators. It was they who promoted the reliance on ratings by credit agencies and the “risk measurement” that fragilized the system as bankers used them to build positions that turned sour. Yet every time there is a problem, we do the Soviet-Harvard thing of more regulation, which makes investment bankers, lawyers, and former-regulators-turned-Wall-Street-advisers rich. They also serve the interest of other groups.

PHRONETIC RULES: WHAT IS WISE TO DO (OR NOT DO) IN REAL LIFE TO MITIGATE THE FOURTH QUADRANT IF YOU CAN'T BARBELL?

The most obvious way to exit the Fourth Quadrant is by “truncating,” cutting certain exposures by purchasing insurance, when available, putting oneself in the “barbell” situation described in [Chapter 13](#). But if you are not able to barbell, and cannot avoid the exposure, as with, say, climate notions, exposure to epidemics, and similar items from the previous table, then we can subscribe to the following rules of “wisdom” to increase robustness.

1. Have respect for time and nondemonstrative knowledge.

Recall my respect for Mother Earth—simply because of its age. It takes much, much longer for a series of data in the Fourth Quadrant to reveal its properties. I had been railing that compensation for bank executives, who are squarely in the Fourth Quadrant, is done on a short-term window, say yearly, for things that blow up every five, ten, or fifteen years, causing a mismatch between observation window and window of a sufficient length to reveal the properties. Bankers get rich in spite of long-term negative returns.

Things that have worked for a long time are preferable—they are more likely to have reached their ergodic states. At the worst, we don't know how long they'll last.*

Remember that the burden of proof lies on someone disturbing a